



OAKRIDGE INTERNATIONAL SCHOOL
HYDERABAD, BACHUPALLY
A NORD ANGLIA EDUCATION SCHOOL



BACKGROUND GUIDE



WTO

**Agenda: Deliberating upon the limits of
TRIPS-consistent border enforcement to
prevent unauthorised seizure of legitimate
generic medicines in transit**



Letter From the Executive Board

We are very pleased to welcome you to the committee of WTO at OakB 2026. It is an honour to serve as your Executive Board for the duration of the conference. This Background Guide is designed to give you an insight into the agenda at hand, so we hope this acts as only a catalyst for furthering your research, and is not limited to just this guide. Please refer to it carefully. Remember, a thorough understanding of the problem is the first step to solving it. Do understand that this Background Guide is in no way exhaustive and is only meant to provide you with enough background information to establish a platform for beginning the research.

Delegates are highly recommended to do a good amount of research beyond what is covered in the Guide. The guide cannot be used as proof during the committee proceedings under any circumstances.

We understand that MUN conferences can be an overwhelming experience for first-timers, but it must be noted that our aspirations from the delegates are not how experienced or articulate they are. Rather, we want to see how one manages the balance to respect disparities and differences of opinion and work around this while extending their foreign policy to present comprehensive solutions without compromising on their self-interests and initiate consensus building.

New ideas are by their very nature disruptive, but far less disruptive than a world set against the backdrop of stereotypes and regional instability, due to which reform is essential in policy making and conflict resolution. At any point during your research, do not hesitate to contact the Executive Board Members for clarification or if you need help in any other aspect. We look forward to a fruitful discussion and an enriching experience with all of you.

Thank You! Regards,

Samay Balanagar (Chairperson)



OAKRIDGE INTERNATIONAL SCHOOL
HYDERABAD, BACHUPALLY
A NORD ANGLIA EDUCATION SCHOOL



Rohan Siddharth Jigadarla (Vice-Chairperson)

Akshaya (Rapporteur)



HOW TO RESEARCH?

1. The most basic thing to do in a **Model UN** is to research, speak, and rebuttal.
2. Do a basic **PESTEL** analysis of your country, which is connected with the agenda.
3. Prepare around **2 to 3 speeches** for the **General Speakers' List (GSL)** . Such speeches are generally **60 - 90 seconds long**. Their length should never exceed more than **200 words**.
4. Always give your remaining time to questions while ensuring that you try to get more speaking time from others through something called **"yields"**.
5. Prepare a list of at least **3 subtopics**. Have a **60-second** speech ready for each mentally.
6. It's crucial that you listen to the speeches of **other delegates** . This helps you find questions and rebuttal points for future speeches. **More than research, questions involve logic**.
7. Have some solutions ready beforehand in an **"Operative Clause" format**. Solutions in a MUN follow a **very legal and diplomatic language**, which can be noticed in the past **UN documents and resolutions**. Refer to the following link - bestdelegate.com



RESEARCHING METHODOLOGY

The Executive Board highly encourages the use of the following research methodologies in your speeches:

1) **IRAC:** Issue, Rule, Application, and Conclusion

Issue: Identify the core problem of the agenda being debated. To make the debate more structured. Do mention the problems in your countries as well.

Rule: Bring in relevant international laws, treaties, or **UN resolutions** to support the agenda **Application:** Analyze how this law applies to the specific country you're representing. E.g., "While Germany supports online freedom, it also enforces the Network Enforcement Act to combat hate speech, creating a balance between rights and regulation."

Conclusion: End with a clear position or solution.

E.g., "Thus, Germany believes that regulation is necessary but must remain within the bounds of international human rights law."

2) **ARE:** Application, Reasoning, Explanation

Application: This essentially means to address the agenda such that you don't extract research from it, but rather make your assertion with your own understanding of the agenda **Reasoning:** Now, whatever Application you gave, provide it with appropriate reasoning such that your assertion makes sense.

Explanation: Explain it in a way that your Application + Reasoning actually makes sense, and if possible, give a solution in a way that is Sustainable, Realistic and Viable for the committee.

3) **PESTLE:** Political, Economic, Sociological, Technological, Legal, and Environmental **Letter Stands For**

What to Research



Political

Government type, political stability, alliances, foreign policy, stance on UN issues

E

Economic

GDP, development level, trade, inflation, funding capacity for programs

S

Social

Religion, culture, education, public awareness, gender roles, and civil society

T

Technologica

I

Innovation, cyber capabilities, internet access, and digital censorship

L

Legal

Laws (national/international), treaties signed, human rights records **E**

Environment

al

Natural resources, climate change, disasters, and sustainability policies



Techniques to Write Good Speeches

1. **HPA Method** - Hook, Point, Action

How to Write an Opening Speech - Best Delegate Model United Nations

2. **LEET Method** - Label, Explain, Example, Tieback

Example of LEET

3. **FLL Approach** - Fact, Legality, and Logic

This is a very technical and substantive approach to certain subtopics. You need to analyze the facts of the situation along with the legal realities surrounding it. Then one needs to connect both the facts and legalities through logic to weave a story and frame a narrative that they wish to portray to the public/audience.

4. **PEN Method** - Punchline, Example, Nail in the Coffin

This is a more aggressive style of debate, which is relevant for defensive arguments or rebuttals to allegations. One can start with a “punchline” which is generally the main observation or summary of the speech delivered in a humorous, satirical, aggressive, or fairly dramatic fashion. One needs to back such an observation with substantive arguments, examples, or legal references. Then, similar to a Tieback, you need to put the nail in the coffin with a concluding statement to remind the audience why you believe your particular interpretation of the subject matter is the right one.

“A good speaker is not one who only knows how to start it well, but to also end it well.”



IMPORTANT POINTS TO REMEMBER

A few aspects that delegates should keep in mind while preparing:

1. **Procedure:** The purpose of putting in procedural rules in any committee is to ensure a more organized and efficient debate. The committee will follow the **UNA-USA Rules of Procedure**. Although the Executive Board shall be fairly strict with the Rules of Procedure, the discussion of the agenda will be the main priority. So, delegates are advised not to restrict their statements due to hesitation regarding procedure.
2. **Foreign Policy:** Following the foreign policy of one's country is the most important aspect of a Model UN conference. This is what essentially differentiates a Model UN from other debating formats. To violate one's **foreign policy** without adequate reason is one of the worst mistakes a delegate can make.
3. **Role of the Executive Board:** The **Executive Board** is appointed to facilitate debate. The committee shall decide the direction and flow of the debate. The delegates are the ones who constitute the committee and hence must be uninhibited while presenting their opinions/stances on any issue. However, the Executive Board may put forward questions and/or ask for clarifications at all points in time to further debate and test participants.
4. **Nature of Source/Evidence:** This Background Guide is meant solely for research purposes and must not be cited as evidence to substantiate statements made during the conference. Evidence for substantiating statements made during formal debate is acceptable from the following sources:

United Nations (Websites, Documents, Resolutions, Treaties, etc.)
Government Reports (Can only be cited by the State that is ruled by the government in question. However, such reports can be considered invalid by other States)
Reuters & Al Jazeera.
State-operated News Agencies, Multilateral Organizations EU, ASEAN, NATO, etc.)
NGOs recognized and collaborated with by the UN



Please note: Reports from NGOs working with UNESCO, UNICEF, and other UN bodies will be accepted. Under no circumstances will sources like Wikipedia or newspapers like The Guardian, Times of India, etc. be accepted. However, notwithstanding the criteria for acceptance of sources and evidence, delegates are still free to quote/cite from any source as they deem fit as a part of their statements.



About the Committee

The World Trade Organization was established by the Marrakesh Agreement of 15 April 1994 and commenced operations on 1 January 1995, succeeding the General Agreement on Tariffs and Trade of

1947. It currently has 166 Members. Its covered agreements are annexed to the Marrakesh Agreement: Annex 1A contains the multilateral agreements on trade in goods, including GATT 1994; Annex 1B contains the General Agreement on Trade in Services; and Annex 1C contains the Agreement on Trade-Related Aspects of Intellectual Property Rights, referred to throughout this guide as TRIPS. Membership is a single undertaking: a Member accepts all the multilateral agreements as a package and cannot accede to GATT while declining TRIPS. Every delegation in this room is therefore bound simultaneously by freedom-of-transit obligations under GATT and enforcement obligations under TRIPS, and must reconcile them.



Idea of a General Council

The WTO is not a unified deliberation forum either. The highest decision-making body of the WTO is the Ministerial Conference that convenes about every two years. Between the ministerial conferences, the General Council made up of representatives of all members, normally ambassadors located in Geneva, acts out its functions. The Council for Trade in Goods, the Council for Trade in Services, and the Council for TRIPS lie below the General Council. The committee above mentioned is modeled after the General Council. This was done for a reason. According to Article IX:2 of the Marrakesh Agreement, the right to make any interpretations of the agreements falls upon the Ministerial Conference and the General Council, and in the case of TRIPS on the basis of recommendations of the Council for TRIPS. The Council for TRIPS had the right to make recommendations but no decisions could be made there.



Decision Making

Article IX:1 provides that the WTO shall continue the GATT practice of decision-making by consensus. Consensus is achieved when no Member present formally objects. It is not unanimity: abstention and silence do not block. Where a decision cannot be arrived at by consensus, the matter is to be decided by voting, with each Member having one vote and the applicable majority depending on the instrument in question.

In practice the WTO almost never votes. Delegates should understand this as both a constraint and an opportunity: a single determined Member can block, which means the committee's real work is coalition management and text-drafting, not vote-counting. Delegations that spend the conference trying to assemble a numerical majority will find they have assembled nothing.



Limitation of WTO

It cannot adjudicate. Disputes between Members are heard by panels established by the Dispute Settlement Body under the Dispute Settlement Understanding. The General Council convenes as the DSB, but that is a distinct function and is not this simulation.

It cannot enforce against private actors. The WTO has no customs officers and no seizure powers. TRIPS obliges Members to make procedures available in their own law.

It cannot bind non-Members, and it cannot reach obligations undertaken outside the covered agreements, including bilateral and regional free trade agreement except in so far as those obligations conflict with WTO law.

It cannot amend a covered agreement by resolution. Amendment follows the procedure in Article X, discussed in Section 9.



Terminology

Counterfeit trademark goods

In accordance with the footnote of Article 51 of TRIPS, counterfeit goods are referred to as those bearing on them a trademark identical with, or substantially similar to, a registered trademark and which infringe the rights of the proprietor of that trademark under the law of the importing country. It must be noted that there are two distinct elements in the definition.

Pirated copyright goods

Copies that have been made without the authorization of the right holder where the act of making such copies would have amounted to infringement in the country of importation. In tandem with counterfeits of registered trademarks, this is the sole class of items for which TRIPS mandates border measures.

Generic medicine

It refers to a drug product which is considered interchangeable with the brand name product, sold upon the expiry of exclusivity period for that brand name product in that particular jurisdiction, or under license/exception. Generic drugs are legitimate in that jurisdiction wherein they are sold legitimately. Generic drugs are not counterfeits. A generic drug has its own name as well as the manufacturer's mark, it is not trying to pass itself off as the brand name drug.

Substandard and falsified (SF) medical products

The terminologies that were chosen by the Seventieth World Health Assembly in 2017. Sub-standard drugs are authorized drugs which do not fulfill the quality standards. The fake medicines misrepresent themselves with regard to identity, composition, or source. Most importantly, WHO has decided to use other terms than counterfeit in this particular case because using the term counterfeit implies raising the issue of whether it is a counterfeited good or not along



with the safety of the patients. A drug may be counterfeit without violating any intellectual property right.



Note: The distinction between an intellectual property problem and a public health problem is

the intellectual core of this agenda. Delegations that collapse the two will find themselves arguing at cross purposes with delegations that do not.

Goods in transit

Goods crossing the territory of a State, the cross-border transit being only one part of a complete journey starting and ending beyond its borders. Separate this from transshipment (transfer from vessel to vessel or from plane to plane at the transfer point), storing within warehouses and free zones, and import for free circulation. Each will be treated differently under the law, and the lines dividing them are blurry: a container that spends eleven months in the free zone is in both transit and storage.

The manufacturing fiction

A means of interpretation whereby the transit state will consider the goods that happen to be physically present within its borders as having been produced in that state and will apply its patent law to check whether there is any infringement. Through this fiction, medicine that has been legally produced in India and exported to Brazil through Rotterdam becomes an infringing product since the patent exists in the Netherlands.

TRIPS-plus

Protection or enforcement which is more than what is required by TRIPS. The fact that TRIPS-plus is not in itself illegal Article 1.1 allows for this does not mean that TRIPS-plus is allowed in any case where it conflicts with the other Articles in the Agreement. Whether patent-based transit seizure is allowed as TRIPS-plus or is prohibited as a TRIPS contravention is the key legal question here.



Exhaustion

The doctrine of exhaustion of rights stipulates that after the particular article is put into circulation with consent, the rightholder no longer has control over it. The exhaustion issue is exempted from TRIPS dispute settlement in TRIPS Article 6.

Active pharmaceutical ingredient (API)

Biologically active ingredient in a drug. APIs are traded across borders in massive quantities and are often patented independently from other formulations. Some of the arrests made during 2008-09 were in relation to APIs.



Legal Frameworks

This section sets out the provisions the committee will be arguing about. Delegates are strongly advised to read the actual text of each; the treaty language is short and the drafting is deliberate. **The**

Architecture of TRIPS Part III

Part III of TRIPS, Enforcement of Intellectual Property Rights, comprises Articles 41 to 61 and is subdivided into five sections: general obligations; civil and administrative procedures and remedies; provisional measures; special requirements concerning border measures; and criminal procedures. The topic of border measures falls under Articles 51 to 60.

It must be said that Part III was a true innovation of 1994. Previous international conventions on intellectual property provided for substantive protection but did not have anything to say about enforcement thereof. It was the first time when TRIPS required certain enforcement mechanisms from States. This explains why the structure of the part looks as it does – it provides minimum procedural protection with numerous provisions to prevent abuse.

Article 51 and Its Footnote

Article 51 requires that Members establish procedures for a rightsholder with good reason to believe that the circumstances exist to suspend the release into free circulation of goods counterfeiting trademarks or pirating copyrights to request such suspension. This article goes on to allow for the establishment by Members of such requests in relation to other infringements of intellectual property rights, including procedures for goods intended for export.

The footnote to Article 51 is perhaps the most important sentence in this entire Guide. It says that there is no obligation to extend such procedures to imports of goods which have been put on the market in another country by or with the consent of the rightsholder, or to goods in transit. Take note of precisely what is and is not included in



this footnote. It absolves Members of any obligation to extend border measures to goods in transit. But it does not necessarily prohibit such measures on the face of it. Thus, the exporters' case will depend on combining the footnote with Articles 41.1 and 1.1.

Article 41.1 — The Anti-Abuse Clause

Article 41.1 provides for the availability of enforcement measures so that effective steps can be taken against the infringement, adding the words that make or break the exporters' case: such measures shall be applied so as to avoid the creation of barriers to legitimate trade and to ensure safeguards against their abuse.

This is a positive obligation, not merely an exhortation. If it has any meaning, it means that enforcement measure that regularly stands in the way of lawful business cannot conform to TRIPS, even if there is no particular provision that is violated. This was never decided regarding the 2008-09 seizures.

Article 1.1 — Floor, or Floor and Ceiling?

Under Article 1.1, Members have the option, but are not under an obligation, to give greater protection in their domestic laws than is mandated under the Agreement, so long as such protection does not violate the Agreement.

One reading of the provision is that this is simply permission, that TRIPS is a minimum standards regime, and Members can opt to exceed the minimum standards if they choose. Another reading is that the proviso is a ceiling on the kind of protection that is permissible, that any protection that violates TRIPS cannot be permitted under any guise.

Other Relevant TRIPS Provisions

Articles 7 and 8 - Articles relating to The Objectives and Principles. Article 7 makes the protection of IP rights an exercise of responsibilities and rights for social and economic welfare. Article 8 gives freedom to the Members to take any measure that might be essential for the protection of public health in accordance with the



provisions of the Agreement.

Article 28 - the rights associated with a patent, which are territorial in nature. Territoriality of the rights of a patent is the main textual argument of the exporters against the fiction of manufacture.

Articles 53, 55, 56 and 58 - procedural protections: security or an equivalent guarantee of safety from the applicant; a limited suspension period; compensation to the importer and owner for improper detention; and, in the case of ex officio action, good-faith protection for those involved. **Article 31bis and the Paragraph 6 System** - The compulsory licensing provision of manufacture and export to WTO Members lacking production capacity, incorporated through the Protocol Amending TRIPS, that took effect in 2017. The provision assumes that the medicines manufactured pursuant to the license can indeed make it to their destination, which assumes unimpeded transit.

Articles 63, 67 and 68 - Transparency, technical cooperation, and the role of the Council for TRIPS. This is how the softer side of the spectrum is reached.

Outside TRIPS: GATT Article V

GATT 1994 Article V provides freedom of transit. Traffic in transit shall enjoy the freedom of transit through the territory of each Member through the most convenient routes for international traffic, without undue delay or restrictions, and without discrimination as to the flag of ships, the place of provenance, departure, entrance, exit, destination, or conditions regarding the ownership of the goods.

This article has often been neglected and should not be. It is a goods article, not an IP article, and it does not have the flexibilities of TRIPS Part III. Both India and Brazil put Article V first in their complaints. Delegations from transit-dependent landlocked states, who have nothing to do with pharmaceutical policy, could find themselves being judged according to Article V, and not TRIPS.

In contrast, rightsholder economies rely upon GATT Article XX(d), which allows for measures necessary for securing observance of



legislation not inconsistent with GATT, including that concerning patents, trademarks, and copyrights. The question of whether such detention of goods in transit constitutes 'necessary' measures under Article XX, and whether it meets the non-discrimination requirements of the Article XX chapeau, is a very serious one.

The Doha Declaration

Declaration on the TRIPS Agreement and Public Health adopted at the Fourth Ministerial Conference held in Doha in November 2001 states that the TRIPS Agreement neither prohibits nor should prohibit Members from adopting measures necessary to protect public health and that the TRIPS Agreement should be read and applied in a manner that supports Members' right to protect public health and to promote access to medicines by all. This is not an amendment to the TRIPS Agreement but holds a lot of interpretative force and is always referred to by developing countries.

Least-Developed Country Transition Periods

It must be noted that LDC Members have no obligation to adhere to many of the TRIPS provisions until 1 July 2034, while the obligations regarding pharmaceutical patents and test data remain suspended until 1 January 2033. It is imperative that LDC delegates realize the fact that their respective countries fall outside the patent obligations, which increases their interest in transit even more.



The Transit Controversy of 2008–2009

What Happened

From late 2008 to early 2009, Dutch customs authorities confiscated approximately nineteen shipments of generic medicines transiting through Rotterdam and Schipol. The medicines were shipped from India for Brazil, Colombia, Peru, Ecuador, Mexico, Nigeria, Vanuatu and many other countries. The medicines included losartan potassium for the treatment of high blood pressure, the antiretroviral drug abacavir, the antipsychotic olanzapine, the anti-platelet agent clopidogrel, and rivastigmine for dementia.

The detentions were made possible via Council Regulation EC No 1383/2003, regulating customs action with respect to suspected IP right infringements. The essential thing here, and the one that is usually overlooked in secondary sources, is the fact that the vast majority of these detentions had been done on the basis of patents valid in the Netherlands, and not on grounds of counterfeiting of trade marks. The drugs were properly labeled, properly identified, and pharmaceutically correct. They were seized only because a patent on the product existed in the transit country.

This is shown by two events. A shipment of losartan potassium destined for Brazil was seized at Schiphol in December 2008, and in the end sent back to India instead of being shipped. A shipment of abacavir, which had been bought using donor money from abroad and which was meant for delivery to Nigeria, was seized in 2009 but then released. In each case, the drugs were legal where produced and legal where destined.

The Legal Response

This issue was taken up by India and Brazil before the WTO General Council and the TRIPS Council in 2009. Consultations were sought by India on 11 May 2010, and by Brazil on 12 May 2010, from the European Union and the Netherlands. These two cases have been registered as DS408 and DS409, both entitled European Union and a Member



State – Seizure of Generic Drugs in Transit.

The claimants claimed violations of Articles V and X of the GATT 1994 and various articles of the TRIPS Agreement including Articles 2, 28, 31, 41, 42, 50, 51, 52, 53, 54, 55, 58 and 59, along with the Doha Declaration. Neither of the cases went forward to the panel stage. An agreement was made between the European Union and India in July 2011, under which mere transit of the drugs did not amount to a finding of infringement of the patent, and detention was justified only if there was evidence of a substantial risk of diversion to the EU market.

The Court of Justice and the Regulation

On December 2011, the Court of Justice of the European Union gave its ruling in the combined Philips and Nokia cases. The Court found that the fact that the goods originated from a non-Member State does not make them counterfeit or pirated simply on the grounds that they are transiting outside the territory; action by customs authorities can only be done when there are sufficient reasons that the goods will enter the market in the EU. This largely dismissed the manufacturing fiction.

Regulation (EU) 608/2013 was adopted to replace Regulation 1383/2003, taking effect in January 2014.

Why the Question Remains Open

1. There is no interpretation binding on all. In DS408 and DS409, consultations were the end. Neither there is any panel report, nor an Appellate Body decision, nor a decision under Article IX:2, which addresses the question of whether TRIPS allows transit detention under patents. CJEU is a regional court, and its decision binds only the European Union, not anybody else. The result that has been achieved by 2011 is a bilateral understanding and a change in domestic law, both of which can be revoked.
2. A transit control provision was included in EU trademark law in 2015. The package of trade mark reform from that year allows the proprietor to stop others from importing goods featuring an



identical or basically identical mark into the EU, even when those goods have not been put up for free circulation, except when it can be proven by the declarant or holder that the proprietor does not have the right to stop the sale of the goods in the country of destination. It is up to the trader to prove that, and it has never been tried against Article 41.1 before.

3. **3.** TRIPS-plus enforcement has found a way into bilateral and regional agreements. Enforcement clauses in FTAs often go above and beyond the TRIPS requirement, such that measures are enforced not only against TRIPS violations but on transit goods and on patents. The Anti-Counterfeiting Trade Agreement was the most aggressive example of such an effort; it was defeated by the European Parliament in 2012, although elements of it now appear in various bilateral agreements. WTO law does not prevent Members from making such agreements, although individual clauses within may violate TRIPS requirements.

4. **4.** Free Zones and Transshipment Points constitute a grey area. Items stored in Free Zones are not considered as having been imported; they can stay for long periods of time, be repackaged and even re-labeled. The World Customs Organization and the OECD have already established that Free Zones serve as channels of illegal trade. Whatever rules will be developed by the committee regarding 'Transit', it must consider the Free Zones issue.

5. **5.** There is no guarantee that it will not happen again somewhere else. In 2008-09, the incident had been about only one Member and only one regulation. The same scenario may occur any time tomorrow for any Member who has got patent rights and an active port city.



The Case for the Existing Framework

Delegations representing the European Union, Switzerland, Japan, the United States, the United Kingdom and the Republic of Korea should not treat this agenda as a brief against them. There is a serious case for the status quo, and it runs as follows.

Transit is a genuine diversion channel

Those that are reported as being in transit actually become available in the internal market of the transit state in many cases, and the customs cannot check whether the declared destination is what becomes of the goods in the end. The provision which would take away all control over inspecting and detaining in transit would be an ideal route for laundering.

TRIPS is a minimum-standards agreement

There is nothing ambiguous about Article 1.1 in terms of allowing for broader protection. From the history of negotiations in regard to Part III, it becomes clear that there is an agreement that aims to establish a floor rather than a ceiling on national law enforcement. Under such an interpretation of Article 41.1, the Agreement means something that it never said.

The specific problem was corrected

The alleged misconduct of 2008-09 has ceased to recur. The regulation has been replaced, held the Court, and an agreement has been reached. The re-opening of a closed issue at the multilateral level, within an organization that is having difficulty reaching agreements on current issues, incurs an opportunity cost.

Patient safety is not a competing interest but the same interest

Customs authority relinquished at the borders is protection relinquished from the counterfeit drugs that cause death. There is a genuine difference between IP violations and pharmaceutical counterfeiting; however, the reality at the time of examination is a



customs officer with a sealed package and manifest, not a lab report.

Territoriality cuts both ways

Being territorial in nature, the duty of the State to implement patents issued under its law is also territorial in character and absolute. The demand that a State must suspend its patent law for products which are within its territory is a violation of territorial sovereignty.



Substandard and Falsified Medicines: The Third Interest

The most frequent mistake made in analyzing the issue is to frame it as a battle between two camps. Yet there is a third camp, and in a committee of 166 Members, it is the biggest one. According to the World Health Organization, roughly one in ten medical products circulating in low- and middle-income countries is substandard or falsified. The impact of this is measured in treatment failures, antimicrobial resistance, and mortality – and it is largely borne by the importing States which lack adequate regulatory capacity.

These States are not part of the rightsholder economies – they do not have a significant portfolio of patents to protect. They are also not necessarily part of the camp of generic exporters – they favor increased interdictions at the border over reduced ones, and are skeptical about any rule that would affect the border control mechanism in principle. Their objective is clear – to ensure that only legitimate products pass through the border, while the others get stopped – and the intellectual property approach to this issue is seen by them as a red herring.

Instruments and institutions relevant to this problem include the WHO Member State Mechanism on substandard and falsified medical products, created in 2012; the WHO Global Surveillance and Monitoring System; the Council of Europe MEDICRIME Convention, which criminalizes the manufacturing and distribution of falsified medical products and which came into force in 2016; the African Medicines Agency, whose treaty took effect in 2021; and the Lomé Initiative of 2020, wherein several African heads of state committed themselves to criminalizing the trafficking of falsified medicines.

An example from the national practice in a related case is noteworthy here. According to the Kenyan Anti-Counterfeit Act of 2008, counterfeits were interpreted in such a way that included generic drugs. In 2012, the High Court of Kenya found that such an interpretation posed a threat to access to affordable essential



medicines and thus was contrary to the right to health under the Constitution.



Positions and Groupings

Generic-Exporting Members

These countries include India, Brazil, South Africa, Argentina, Thailand, Indonesia, Egypt, and Bangladesh. India is the largest producer of generic drugs and the directly affected Member during the period from 2008-2009. The Brazilian national AIDS treatment programme relies on low cost imports. These Members hold the following positions: the footnote to Article 51 covers only transit, Article 41.1 precludes enforcement which hinders legal trade, patents are territorially defined and thus the manufacturing fiction is inconsistent with Article 28, and that GATT Article V is concerned independent of TRIPS. The ultimate goal of these Members is an interpretation; their pragmatic goal is a General Council decision with interpretive force. **Rightsholder Economies**

European Union, Switzerland, Japan, United States, United Kingdom, Republic of Korea, Canada, Australia. This group stresses Article 1.1, the lack of any prohibition on transit actions in the treaty, the fact that the correction to EU law has already been made, and the danger of diversion. They will reject any interpretation of the treaty described as authoritative because that would be binding. Rather, they will favour commitments to transparency, best practices, or a work program. Note that this group is not necessarily a bloc in that Switzerland and the EU both have different drug manufacturing industries, and Japan cares less about drugs than electronics.

Importing Members with Health-Security Priorities

Nigeria, Kenya, Ghana, Senegal, Uganda, Tanzania, Ethiopia, and LDCs. In Section 7, these countries are the true swing vote. They will be supportive of limitations in transit seizure by IP but only so long as such limitations don't undermine customs powers in relation to counterfeit goods and there is something in it for them. Article 67 technical assistance and WHO Member State Mechanism are the points of leverages.



Transit Hubs

Netherlands, Belgium, Singapore, United Arab Emirates, Panama, Hong Kong China, Djibouti, and Malaysia. Their interest is purely operational and not ideological, consisting of issues relating to legal certainty, potential liability in relation to unlawful detainment under Article 56, demurrage and warehousing expenses, and implications of inspection requirements on throughput. They are motivated by a rule that minimizes their liability, irrespective of which grouping formulates it. The Landlocked Members, with high transit dependency, viz. Nepal, Bolivia, Zambia, Mongolia, and Paraguay.

Cross-Pressured Members

China deserves special attention. It is the biggest exporter of APIs and has a considerable generic industry, making it fall under the exporters. At the same time, it is also an increasing owner of patent and trademark rights with enforcement interest and an important transit and free zone state. This is really a tricky position, and a good China will make the difference. Other countries in similar positions are Türkiye, Mexico, Chile, Viet Nam and Israel.



Questions a Resolution Must Answer

1. Does Article 1.1 of TRIPS operate solely as a permission to exceed minimum standards, or does its proviso establish a ceiling that patent-based transit enforcement contravenes?
2. Is the manufacturing fiction compatible with the territorial character of patent rights under Article 28, and with the obligation of freedom of transit under GATT Article V?
3. Should 'goods in transit' be defined for the purposes of Part III, and should the definition extend to transshipment, warehousing, and free zones?
4. What evidentiary threshold should a competent authority be required to meet before suspending release reasonable suspicion, prima facie evidence, or a substantial likelihood of diversion into the domestic market?
5. Where should the burden of proof rest, and is a reversed burden of the kind adopted in EU trademark law compatible with Article 41.1?
6. Who bears storage, demurrage and destruction costs where a detention proves unfounded, and how should indemnification under Article 56 be strengthened?
7. How should the framework distinguish intellectual property infringement from substandard and falsified quality risk, and should the two attract different border procedures?
8. What technical and financial assistance is required to enable importing Members to interdict falsified products without relying on IP-based detention as a proxy?
9. Should Members be required to notify their border-measure legislation and detention statistics, and to what body?
10. Which instrument should carry the outcome, and what majority or consensus does it require?



Further Readings

https://www.wto.org/english/docs_e/legal_e/04-wto_e.htm

https://www.wto.org/english/thewto_e/minist_e/min01_e/mindecl_trips_e.htm

<https://infocuria.curia.europa.eu/tabs/redirect/juris/liste.jsf?language=en&num=C-446/09>

<https://www.legislation.gov.uk/eur/2013/608/contents>

<https://digitallibrary.un.org/record/556860?ln=en>